

QuantShares, BlackRock, and SummerHaven Index Management are the index providers for these.

2. The start date of the Barclays U.S. Aggregate Bond index is January 1, 1976. For dates prior to January 1976, we substitute the Barclays U.S. Government/Credit Bond Index, which tracks U.S. aggregate bonds closely.
3. From 1926 on, the average annual return of intermediate- and long-term bonds has been approximately the same, while the standard deviation of intermediate bonds has been 4.25 versus 7.65 for long-term bonds.
4. All indexes used are on a total return basis that includes dividend distributions.
5. There are four brokerage firms with commission-free ETFs that could be used with GEM.
6. If we leave out emerging markets by using MSCI World ex-U.S. instead of ACWI ex-U.S., average annual return is 17.0, standard deviation is 12.54, Sharpe ratio is 0.84, and maximum drawdown is -22.72.
7. Negative skewness is an indicator of left tail risk. Skewness over the entire data period is -1.05 for ACWI, -0.93 for absolute momentum, -0.54 for relative momentum, and -0.61 for GEM.
8. See http://mba.tuck.dartmouth.edu/pages/faculty/ken.french/data_library.html.
9. ETFs usually have no capital gain distributions, while mutual funds are required to pass through net capital gains when fund managers sell their holdings.
10. See <http://stockcharts.com/freecharts/perf.php>.
11. One can trade commission-free at Fidelity using iShares ETFs having the same 10 basis points average expense ratio, but its non-U.S. fund has less trading volume than the Vanguard fund. The average annual expense ratio of similar Schwab ETFs is only 6 basis points, but they have significantly less liquidity than the Vanguard funds.